

“Debt Overhang During Policy Uncertainty: The Case of Gold Clauses in the 1930s”

The authors significantly improved the paper and especially the collection of additional data is much appreciated. In sum, the authors have responded to all of my comments, and I am satisfied with their responses in general.

That said, I think there is one larger issue outstanding. The authors reference the portfolio returns (stock market responses) to various legal developments in section 3 (page 10). This analysis is insightful but not well-explained. In my opinion, the return analysis deserves a table and more detail on the data and summary statistics, some of which can be provided in the appendix. A figure might help too. Consider time series of (cumulative) returns for a) the market, b) firms with gold exposure (unweighted), firms with gold exposure (Weighted as indicated in footnote 10) and d) firms without gold exposure. Such a figure with “event lines” (joint resolution, first lawsuits, potentially lower court rulings, start of Supreme Court arguments (poor government showing), Supreme Court decision) would visualize the argument of the authors. I could also see the return analysis in a regression framework. The point here is that illustrate that market clearly responded to relevant events around the abrogation supporting the key identification argument of the authors.

One small point on last sentence page 12/top page 13. I don’t think that the Liberty bond prices reflect a flight to safety. Indeed, Liberty bonds were very much part of debate since they were to be paid in gold and in the end were not due to the US leaving the gold standard (which is why some argue that this constitutes sovereign default). If anything, the high prices of Liberty bonds indicated that observations thought it likely that the government could lose the case. Either the authors provide a better explanation for the Liberty bond behavior, which is currently stated without the appropriate context or they delete the sentence. Also, the citation to the NYTimes article is missing.